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(viii) Interest on loan

Business entities may have loans borrowed from banks and other financial institutions, private money lenders, etc. If any interest is payable on loan and not yet provided at the time of preparation of trial balance, it is necessary to provide for outstanding interest on loan. It is an outstanding expense.

Adjusting entry

Particulars		L.F.	Debit `	Credit `
Interest on loan A/c	Dr.		xxx	
To Outstanding interest on loan A/c				xxx
(Interest on loan outstanding)				

Presentation in final accounts

In Profit and loss A/c	Amount outstanding is added to interest on loan on the debit side.
In Balance Sheet	Amount of interest outstanding is added to loan on the liabilities side as it is payable along with the loan.

Tutorial note

1. If the trial balance contains loan account specifying the percentage of interest and date of borrowing and interest paid appears in the trial balance, it is to be checked whether interest for the whole year is paid. If it is not paid, outstanding interest must be adjusted.
2. Similar to any other expenses outstanding, this entry also will be reversed at the beginning of the next accounting period.

Example

Extracts from the trial balance as on 31st December, 2017 is given below:

Particulars	Debit `	Credit `
Loan @ 12% p.a.		5,00,000
Interest paid on loan	45,000	

Adjustment: Interest on loan is unpaid for three months.

Interest unpaid = ` 5,00,000 × 12/100 × 3/12 = ` 15,000. The adjusting entry is:

Adjusting entry

Date	Particulars		L.F.	Debit `	Credit `
2017	Interest on loan A/c	Dr.		15,000	
Dec. 31	To Outstanding interest on loan A/c				15,000
	(Interest on loan outstanding provided)				

In final accounts, it is presented as follows:

Dr. Profit and loss account for the year ended 31st December, 2017 Cr.

Particulars	`	`	Particulars	`	`
To Interest on loan	45,000				
Add: Outstanding	15,000	60,000			